



CHAPTER 61.

An Act to provide for the establishment of a corporation to be known as the British Overseas Airways Corporation; to facilitate the acquisition by that Corporation of certain air transport undertakings; to make further and better provision for the operation of air transport services, and for purposes connected with the matters aforesaid. [4th August 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Constitution and Functions of the British Overseas Airways Corporation.

1.—(1) So soon as may be after the passing of this Act, there shall be established for the purposes thereof a corporation to be known as the British Overseas Airways Corporation (hereafter in this Act referred to as "the Corporation").

Establishment and constitution of Corporation.

(2) The Corporation shall consist of a chairman, deputy-chairman and such number of other members, not being less than nine nor more than fifteen, as the Secretary of State may from time to time think fit:

Provided that the Corporation shall be deemed to have been established when the chairman, deputy-chairman and five other members have been appointed, and the proceedings of the Corporation shall not be affected by any vacancy amongst the members thereof or by any defect in the appointment of a member.

(3) The members of the Corporation shall be appointed by the Secretary of State, who shall also appoint two of the members to be chairman and deputy-chairman respectively.

(4) The Corporation may appoint a member, not being either the chairman or deputy-chairman, to be chief executive member of the Corporation.

(5) The Corporation shall pay to each member thereof, in respect of his office as such, such remuneration as may be determined by the Secretary of State with the approval of the Treasury, and shall pay to the chairman and deputy-chairman thereof, in respect of his office as such, such remuneration (in addition to any remuneration to which he may be entitled in respect of his office as a member) as may be so determined.

(6) The Corporation may pay to the chief executive member thereof, in respect of his office as such, such remuneration (in addition to any remuneration to which he may be entitled in respect of his office as a member) as the Corporation may determine.

(7) The supplementary provisions contained in the First Schedule to this Act shall have effect in relation to the Corporation.

**Functions
of Corpora-
tion.**

2.—(1) It shall be the duty of the Corporation, subject as hereinafter provided, to secure the fullest development, consistent with economy, of efficient overseas air transport services to be operated by the Corporation and to secure that such services are operated at reasonable charges.

(2) The Corporation shall have power, subject as hereinafter provided, either in connection with the discharge of their duty under the preceding subsection or as an independent activity—

- (a) to operate internal air transport services;
- (b) to undertake flights on charter terms;

- (c) to undertake flights for the purposes of aerial survey;
- (d) to make arrangements for the instruction and training in matters connected with aerial navigation of persons employed, or desirous of being employed, whether as pilots or in any other capacity, either by the Corporation or by other persons; and
- (e) to carry out repairs to aircraft.

(3) The Corporation shall have power, subject as hereinafter provided, to do anything which is calculated to facilitate the discharge of the functions conferred on them by the preceding provisions of this section or is incidental or conducive thereto, including in particular, but without prejudice to the generality of this provision, power—

- (a) to acquire aircraft, parts of aircraft and aircraft equipment and accessories;
- (b) to acquire or construct aerodromes, buildings and repair shops;
- (c) to acquire lights, beacons, wireless installations and other plant and equipment;
- (d) to manufacture parts of air-frames and of aero-engines and aircraft equipment and accessories;
- (e) to sell, let, or otherwise dispose of any property belonging to them and not in their opinion required for the proper discharge of their functions;
- (f) to enter into any arrangement for establishing or maintaining air transport services to be operated, in collaboration with the Corporation or otherwise, by other persons, or any arrangement for the pooling of receipts or profits with other persons operating air transport services;
- (g) to act as agents for any other undertaking engaged in the provision of air transport services, or in other activities of a kind which the Corporation have power to carry on;
- (h) to provide accommodation, in hotels or otherwise, for passengers, and facilities for the transport of passengers to or from aerodromes

and for the collection, delivery and storage of baggage and freight;

- (i) to make, with persons carrying on a business of providing any facilities for passengers or freight in connection with air transport services, arrangements for the provision of such facilities;
- (j) to acquire any undertaking engaged in the provision of air transport services or in other activities of a kind which the Corporation have power to carry on, or to acquire, hold or have any shares or stock of, or any financial interest in, any such undertaking;
- (k) to lend money to, or enter into guarantees on behalf of, any such undertaking as is mentioned in the last preceding paragraph;
- (l) to carry out experimental work, and conduct, promote and encourage education and research in matters connected with any of their functions;
- (m) to appoint such advisory boards or committees, and such local boards or committees, with such executive or other functions and upon such terms as to remuneration and otherwise, as they may deem expedient;
- (n) to enter into agreements with the Government of any country; and
- (o) to promote Bills in Parliament.

Employment in connection with Corporation's services of Empire goods and personnel.

3.—(1) The Corporation shall not, except with the approval of the Secretary of State or in accordance with the terms of any general authority given by him, use in connection with any service operated by them any aircraft, air-frames or aero-engines designed or manufactured outside His Majesty's dominions, or any aircraft accessories or any equipment so manufactured, or carry out outside His Majesty's dominions any works of maintenance or repairs (other than emergency repairs) on or to any aircraft or aircraft accessories or any equipment so used.

(2) The Corporation shall comply with such directions as may from time to time be given by the Secretary of State for securing, to such extent and in such cases as may be specified in the directions, that aircraft used as aforesaid shall be registered in some part of His Majesty's

dominions, and that pilots and other persons employed in any capacity by the Corporation shall be British subjects and shall have, or have had, such connection with the Air Force Reserve or Auxiliary Air Force, or with a corresponding service in some part of His Majesty's dominions outside the United Kingdom, as may be so specified.

(3) The provisions of this section shall have effect as if a British protectorate, any territory in respect of which a mandate of the League of Nations has been accepted by His Majesty and any other territory which is under His Majesty's protection or suzerainty were part of His Majesty's dominions.

4.—(1) The Corporation shall not, except with the authority of an order of the Secretary of State—

Control
of Secretary
of State
over certain
activities.

- (a) operate, or acquire any undertaking engaged in the provision of, any air transport service between the British Islands and Eire;
- (b) operate any internal air transport service, or exercise in relation to any such service any of the powers conferred on them by paragraphs (f), (j) or (k) of subsection (3) of section two of this Act;
- (c) undertake any flight on charter terms within the British Islands, or any flight for the purpose of aerial survey within the British Islands; or
- (d) acquire or construct any aerodrome in the British Islands:

Provided that nothing in paragraph (a) of this subsection shall apply in relation to the operation or provision of any service as part of, or in connection with, a trans-Atlantic service, so long as—

- (i) on an outward journey, no passengers, mails or other freight embarked in the British Islands are disembarked in Eire except by way of transshipment for the purpose of conveyance by air across the Atlantic; and
- (ii) on a homeward journey, no passengers, mails or other freight are embarked in Eire except by way of transshipment after conveyance by air across the Atlantic; and

- (iii) in either case, the point of transhipment is one to which there is at the date of the passing of this Act no existing air transport service from the British Islands.

The provisions of the Second Schedule to this Act shall apply with respect to the making of an order by the Secretary of State under this subsection, and to the revocation or modification of any such order.

(2) The Corporation shall not, except with the approval of the Secretary of State, or in accordance with the terms of any general authority given by him—

- (a) undertake any flight for the purpose of aerial survey, except in connection with the development of an air transport service operated or proposed to be operated by the Corporation;
- (b) acquire aircraft of any type not approved by the Secretary of State;
- (c) exercise any of the powers conferred on them by paragraphs (d), (f), (j), (k) or (l) of subsection (3) of section two of this Act, or, except in relation to persons employed, or desirous of being employed, by the Corporation, the power conferred on them by paragraph (d) of subsection (2) of that section; or
- (d) enter into any agreement with the Government of any country other than the United Kingdom:

Provided that this subsection shall not apply with respect to the exercise by the Corporation of any powers for the exercise of which, under subsection (1) of this section, the authority of an order of the Secretary of State is required.

(3) Nothing in the foregoing provisions of this section shall be construed as preventing the Corporation, without the authority of an order of the Secretary of State under subsection (1) of this section and without his approval or general authority under subsection (2) thereof—

- (a) from accepting and holding such shares or stock of the company known as Railway Air Services, Limited, as are transferred to and vested in them by virtue of the subsequent provisions of this Act and of the contracts scheduled thereto;

- (b) from continuing to carry out any existing arrangements with respect to the operation of air transport services on behalf of that company, being arrangements the benefit of which is so transferred to and vested in the Corporation as aforesaid;
- (c) from making and carrying out any arrangements with that company by way of renewal of any such existing arrangements, being arrangements with respect to the operation of the same, or substantially the same, services as those to which the existing arrangements relate.

(4) The Secretary of State, before making any order which authorises the Corporation to exercise, in relation to any internal air transport service, any of the powers conferred on them by paragraphs (f), (j) or (k) of subsection (3) of section two of this Act, shall consult with any Licensing Authority established under section five of the Air Navigation Act, 1936, and shall consider any report made to him by that Authority.

26 Geo. 5. &
1 Edw. 8.
c. 44.

5. The Corporation shall not manufacture air-frames or aero-engines.

Corporation not
to manufacture
air-frames or
aero-engines.

6. So long as the power of the Secretary of State to make any grant to the Corporation under this Act is, or may become, exercisable, or any guarantee given by the Treasury under this Act is in force,—

Control
exercisable
by Secre-
tary of
State during
currency of
grants or
guarantees.

- (a) the Corporation shall not, except with the approval of the Secretary of State, undertake any overseas air transport service which was not immediately before the appointed day being operated by either of the companies known as Imperial Airways Limited or British Airways Limited (hereafter in this Act referred to as "the existing companies"); and
- (b) the Secretary of State may direct the Corporation—
 - (i) to undertake any air transport service or other activity which they have power to undertake;

(ii) to discontinue or make any change in any air transport service or other activity which they are operating or carrying on; or

(iii) not to undertake any activity which they are proposing to undertake:

Provided that, in the case of a service or activity which would require the authority of an order of the Secretary of State under subsection (1) of section four of this Act, or the grant of a licence under any Order in Council made under section five of the Air Navigation Act, 1936, or the variation of such a licence, any direction of the Secretary of State under paragraph (b) of this section shall in the first instance be a direction to apply for the necessary order or, as the case may be, for the necessary licence or variation.

Saving for
licensing
provisions
of 26 Geo. 5.
& 1 Edw. 8.
c. 44.

7. Nothing in this Act shall be construed as exempting the Corporation, or any person employed by them, from compliance with the provisions of any Order in Council made under section five of the Air Navigation Act, 1936 (which relates to the licensing of air transport and commercial flying).

Transfer to the Corporation of Undertakings of Imperial Airways Limited and British Airways Limited.

Corporation
to adopt
certain
provisional
contracts.

8.—(1) As soon as may be after the passing of this Act, the Corporation shall adopt and ratify with such modifications, if any, as may be agreed in writing by all parties concerned and approved by the Secretary of State, the provisional contracts set out in the Third Schedule to this Act for the acquisition by the Corporation of the undertakings of the existing companies, and thereafter those contracts shall have effect as if they had been made with the Corporation otherwise than as provisional contracts.

The said contracts and any agreement providing for the modification thereof are hereafter in this Act referred to as "the purchase agreements".

(2) The Secretary of State shall lay a copy of any agreement providing for the modification of either of the said contracts before each House of Parliament.

9.—(1) On the appointed day the undertakings of the existing companies shall, by virtue of this Act, be transferred to and vest in the Corporation without further assurance.

Transfer to Corporation of undertakings of existing companies.

(2) The transfer effected by the last preceding subsection shall, subject to the terms of the purchase agreements and to the provisions of this Act, extend to the whole of the undertaking of each of the existing companies, including—

- (a) all aircraft, lands, works and other property, assets, powers, rights and privileges held or enjoyed in connection therewith, or appertaining thereto; and
- (b) any rights or interests of the existing companies in any other undertaking; and
- (c) all liabilities and obligations of the existing companies.

10.—(1) As from the appointed day, every contract entered into between the Secretary of State for Air, or the Secretary of State for Air and His Majesty's Postmaster General, on the one hand and either of the existing companies on the other hand shall cease to have effect except in so far as it imposes—

Existing contracts with Secretary of State and Postmaster General.

- (a) obligations on an existing company with respect to the carriage of mails, or the maintenance of air transport services in connection with the carriage of mails; or
- (b) obligations on His Majesty's Postmaster General with respect to the remuneration to be paid for the carriage of mails or for the maintenance of air transport services in connection with the carriage of mails :

Provided that this subsection shall not affect any right or obligation arising under any such contract in respect of anything done or omitted before the appointed day, but any such right or obligation of either of the existing companies shall be included in the rights and obligations transferred to the Corporation by the last preceding section.

(2) In so far as any such contract imposes any such obligation as is mentioned in paragraphs (a) or (b) of the last preceding subsection, it shall have effect as if

the Corporation were substituted therein for the existing company which is a party thereto.

Other
existing
contracts.

11. Subject to the provisions of this Act and to the terms of the purchase agreements, all deeds, bonds, agreements, instruments and working arrangements which are subsisting immediately before the appointed day and affect either of the existing companies shall, in so far as they relate to the undertaking of that company, be of as full force and effect against or in favour of the Corporation, and enforceable as fully and effectually as if, instead of the company, the Corporation had been named therein or had been a party thereto.

Pending
proceedings.

12. Any proceeding or cause of action pending or existing immediately before the appointed day by or against either of the existing companies in respect of its undertaking may be continued and enforced by or against the Corporation, as it might have been by or against that company, if this Act had not been passed.

Borrowing powers.

Borrowing
powers of
Corporation.

13.—(1) Subject to the provisions of this Act, the Corporation may, with the consent of the Treasury, borrow money by the issue of stock in manner hereinafter provided, for all or any of the following purposes, that is to say:—

- (a) payment of the whole or any part of the consideration to be given under the purchase agreements for the acquisition by the Corporation of the undertakings of the existing companies;
- (b) the provision of working capital;
- (c) the acquisition of other undertakings or of shares or stock of other undertakings, and the making of loans to, and the fulfilment of guarantees given on behalf of, other undertakings;
- (d) the redemption of any stock which they are required, or entitled, to redeem; and

- (e) any other expenditure properly chargeable to capital account, including the repayment of any money temporarily borrowed under subsection (2) of this section for any of the foregoing purposes.

(2) The Corporation may also, with the consent of, or in accordance with the terms of any general authority given by, the Treasury, borrow temporarily by way of overdraft or otherwise such sums as they may require for meeting their obligations and discharging their functions under this Act.

14.—(1) The Corporation may create and issue stock, to be called “Airways Stock”, for the purpose of enabling the Corporation—

Power of Corporation to issue stock.

- (a) to fulfil their obligations with respect to the allotment of stock to, or by the direction of, the existing companies in accordance with the purchase agreements; and
- (b) to raise any money which they are empowered under this Act to borrow by the issue of stock.

(2) Airways Stock and the interest thereon shall be charged on the undertaking and all property and revenues of the Corporation.

(3) Subject to the provisions of this Act, Airways Stock shall be issued, transferred, dealt with and redeemed upon such terms and in accordance with such regulations as the Secretary of State, with the approval of the Treasury, may prescribe, and any such regulations may apply for the purposes of this section, with or without modifications, any provisions of the Local Loans Act, 1875, or of any enactment relating to stock issued by a local authority.

38 & 39 Vict. c. 83.

15. The aggregate of the amounts outstanding in respect of the principal of any Airways Stock issued and of any temporary loans raised by the Corporation under this Act shall not at any time exceed a limit of ten million pounds :

Limit on amount of Airways Stock and temporary loans to be issued or raised by Corporation.

Provided that nothing in this section shall prevent the Corporation from borrowing in excess of the said limit for the purpose of redeeming any Airways Stock which

they are required or entitled to redeem, or of paying off any such temporary loan.

Power of
Treasury to
guarantee
stock and
temporary
loans of the
Corporation.

16.—(1) The Treasury may guarantee, in such manner and on such conditions as they think fit, the redemption or repayment of, and the payment of interest on, any Airways Stock issued, or temporary loan raised, by the Corporation under this Act.

(2) Any sums required by the Treasury for fulfilling a guarantee given under this section shall be charged on and issued out of the Consolidated Fund of the United Kingdom, or the growing produce thereof (hereinafter referred to as "the Consolidated Fund"), and any sums received by way of repayment of any sums so issued, or by way of interest thereon, shall be paid into the Exchequer.

(3) The undertaking and all property and revenues of the Corporation shall be charged with the repayment of any sums so issued out of the Consolidated Fund, including interest thereon at such rates as the Treasury may determine, next after the principal and interest of any stock or temporary loan guaranteed by the Treasury under this section and any sums which, by the terms of the issue of any such stock, the Corporation are bound to set aside towards the redemption of any such stock, and in priority to any other charge not existing at the date of the issue or raising of the stock or loan in respect of which the issue from the Consolidated Fund has been made.

(4) As soon as may be after any guarantee is given under this section, the Treasury shall lay a statement of the guarantee before both Houses of Parliament.

(5) If any sum is issued under this section out of the Consolidated Fund, the Treasury shall, as soon as may be after the end of the financial year in which the first sum is so issued, lay before both Houses of Parliament an account of all sums at any time so issued and of all sums at any time received by way of repayment of any sums so issued, and a similar account shall be laid in like manner in every subsequent year unless it is shown by the account laid in the preceding year that all sums so issued have been repaid.

General financial provisions.

17. The Corporation shall establish an Airways Fund and all receipts of the Corporation shall be carried to that Fund and all payments by the Corporation shall be made out of that Fund. Airways Fund.

18.—(1) The revenues of the Corporation for any financial year shall be applied in defraying the following charges for that year :— Application of revenues of Corporation.

- (a) working and establishment expenses and expenditure on, or provision for, the maintenance and renewal of the undertaking and the discharge of the functions of the Corporation (including payments in respect of, and provision for, pensions and superannuation allowances), properly chargeable to revenue account;
- (b) interest on any Airways Stock issued, or temporary loan raised, by the Corporation;
- (c) sums required by any regulations made under subsection (3) of section fourteen of this Act to be transferred to a sinking fund, or otherwise set aside, for the purpose of making provision for the redemption of Airways Stock.

(2) The amount remaining of the revenues of the Corporation for any financial year, after defraying the charges referred to in the preceding subsection, shall be applied in making good any revenue deficiencies carried forward from previous years, and the balance, if any, of that amount, after making good those deficiencies, shall, as soon as may be after the end of that year, be carried to a general reserve account :

Provided that, if the amount standing to the credit of that account already exceeds, or would by reason of a transfer under this subsection exceed, one-tenth of the cost to the Corporation of the capital assets for the time being forming part of their undertaking, a sum equal to one-half of the balance aforesaid, or, as the case may be, to one-half of the excess which would so result, shall, in lieu of being carried to the general reserve account, be paid to the Secretary of State and by him paid into the Exchequer.

Application
of General
Reserve.

19. Moneys standing to the credit of the general reserve account at the end of any financial year may be applied in defraying any of the charges for that year mentioned in subsection (1) of the last preceding section or in making good any revenue deficiencies carried forward from previous years to the extent to which the revenues of the Corporation for that year are insufficient to meet those charges or make good those deficiencies, and, pending any such application of those moneys, they may be employed in the undertaking of the Corporation or invested in accordance with the provisions of the next succeeding section.

Investment
of funds of
Corpora-
tion.

20. Any funds of the Corporation not immediately required to be expended in the discharge of any of the functions of the Corporation shall, if invested, be invested in securities of the Government of the United Kingdom.

Control of
capital
expenditure
during
currency
of grants or
guarantees.

21. The Corporation shall not, so long as the power of the Secretary of State to make any grant to the Corporation under this Act is, or may become, exercisable, or any guarantee given by the Treasury under this Act is in force, incur any capital expenditure except with the approval of the Secretary of State, or in accordance with the terms of any general authority given by him.

Accounts and Reports.

Accounts
and audit.

22.—(1) The Corporation shall keep proper accounts and other records in relation thereto and shall prepare in respect of each financial year a statement of accounts in such form as the Secretary of State may direct.

(2) The statement prepared in respect of any financial year shall contain such particulars with respect to any company which at any time during that year was a subsidiary company as the Secretary of State may direct.

(3) The accounts of the Corporation shall be audited by auditors to be appointed annually by the Corporation with the approval of the Secretary of State.

(4) So soon as the accounts of the Corporation have been audited, the Corporation shall send a copy of the statement of accounts referred to in subsection (1) of this section to the Secretary of State together with a copy of any report made by the auditors on that statement or on the accounts of the Corporation.

(5) The Secretary of State shall lay a copy of every such statement and report before each House of Parliament.

23.—(1) The Corporation shall, as soon as possible after the end of each financial year, make to the Secretary of State a report dealing generally with the operations of the Corporation during that year and containing such information with respect to the proceedings and policy of the Corporation as can be made public without detriment to the interests of the undertaking of the Corporation.

Annual report and periodical returns.

(2) The Secretary of State shall lay a copy of every such report before each House of Parliament.

(3) The Corporation shall furnish to the Secretary of State—

(a) such financial and statistical returns; and

(b) such information with respect to the financial position of any subsidiary company,

as the Secretary of State may from time to time require.

Government Grants, &c.

24. Subject to the provisions of this Act, during the period commencing on the appointed day and ending on the thirty-first day of March nineteen hundred and forty-one, the Secretary of State may, with the approval of the Treasury, make to the Corporation grants of such amounts as he may consider necessary to enable the Corporation during that period—

Initial grants by Secretary of State.

(a) to continue and develop any air transport services and other activities which were immediately before the appointed day being operated by either of the existing companies; and

(b) to undertake and develop such other air transport services and activities as he may approve, or may require them to undertake and develop.

25.—(1) In respect of, and before the commencement of, any accounting period, as defined in this section, the Corporation may submit to the Secretary of State—

Further grants by Secretary of State.

(a) a programme of the air transport services and other activities which the Corporation propose

to continue or undertake during that period; and

- (b) an estimate of the revenue to be received by the Corporation during that period and of the expenditure, whether on revenue account or capital account, to be incurred by them during that period.

(2) Every such programme and estimate shall be submitted at such time, and shall be in such form and shall contain such particulars, as the Secretary of State may direct.

(3) The Corporation shall at the request of the Secretary of State furnish him with such further information, particulars and details as he may require in connection with any such programme or estimate as aforesaid, and shall permit any person authorised by him for that purpose to inspect and make copies of the accounts, books, documents or papers of the Corporation, and shall afford such explanation thereof as that person or the Secretary of State may reasonably require.

(4) The Secretary of State shall, in consultation with the Corporation, consider all programmes and estimates submitted to him in accordance with this section and may require modifications to be made thereto.

(5) If the Secretary of State is satisfied that the fulfilment of any programme in respect of an accounting period will be a proper discharge of the functions of the Corporation and that any estimate for that period is reasonable and framed with a due regard to efficiency and economy, he may, with the consent of the Treasury, approve that programme and estimate.

(6) If it appears to the Secretary of State from any estimate which he has approved that the expenditure of the Corporation during an accounting period will be in excess of their revenue during that period, the Secretary of State shall, subject to the provisions of this Act and with the approval of the Treasury, at the same time as he approves that estimate, determine whether any, and if so, what, sum should be paid to the Corporation in respect of that period, regard being had to the amount of any such excess as aforesaid and to the financial position of the Corporation at that time.

(7) If the Secretary of State determines, under the last preceding subsection, that any sum should be paid to the Corporation in respect of an accounting period, he may, subject to the provisions of the next succeeding section, make to the Corporation in respect of that period grants of such amounts (not exceeding in the aggregate the sum so determined by him) and at such times as he may from time to time think fit.

(8) If, from a consideration of any programme and estimate in respect of an accounting period, it appears to the Secretary of State expedient so to do, he may, notwithstanding that he has not yet approved that programme and estimate, make to the Corporation such payment or payments, as the Treasury may approve, on account of any grant which he may subsequently become authorised under the last preceding subsection to make to the Corporation in respect of that period.

(9) In this and the next succeeding section—

- (a) the expression "accounting period" means a period of three years commencing on the first day of April in each of the following years, that is to say, the year nineteen hundred and forty-one, the year nineteen hundred and forty-four, the year nineteen hundred and forty-seven and the year nineteen hundred and fifty;
- (b) the expression "revenue" does not include any grant which may be made by the Secretary of State to the Corporation under this Act; and
- (c) the expression "expenditure", in relation to any estimate, includes any sum thereby proposed to be set aside or allocated for any purpose.

26.—(1) If the Corporation undertake in any accounting period any air transport service or other activity, being a service or activity not included in a programme approved by the Secretary of State under the last preceding section in respect of that period, the Corporation may, and shall if so directed by the Secretary of State, submit to him a supplementary programme of that service or activity and a supplementary estimate of the expenditure and revenue to be incurred and

Supplemen-
tary
programmes
and
estimates
and
variation of
grants

received by the Corporation in respect thereof during that period.

(2) If the Corporation in any accounting period discontinue, or do not undertake, any air transport service or other activity, being a service or activity included in a programme approved by the Secretary of State under the last preceding section in respect of that period, or in a supplementary programme approved by the Secretary of State since the commencement of that period, the Corporation shall, if so directed by the Secretary of State, submit to him a supplementary estimate of the expenditure and revenue which would have been incurred and received by the Corporation in respect of that service or activity during that period.

(3) If the Corporation make in any accounting period any change in any air transport service or other activity, being a service or activity included in a programme approved by the Secretary of State under the last preceding section in respect of that period, or in a supplementary programme approved by the Secretary of State since the commencement of that period, the Corporation shall, if so directed by the Secretary of State, submit to him a supplementary estimate of the expenditure and revenue which would have been incurred and received by the Corporation in respect of that service or activity during that period but for the change, and of the expenditure and revenue which will be so incurred and received having regard to the change.

(4) The provisions of subsections (2), (3), (4) and (5) of the last preceding section shall apply in relation to any supplementary programme and estimate in like manner as they apply in relation to any programme or estimate to which that section applies.

(5) If the Secretary of State approves a supplementary estimate, he may, subject to the provisions of this Act and with the approval of the Treasury, at the same time as he approves that estimate, increase or decrease any sum determined by him under subsection (6) of the last preceding section to be the sum which should be paid to the Corporation in respect of the accounting period to which that estimate relates, or, in a case where he has already made an increase or decrease under this subsection, the increased or decreased sum, as the case

may be, by such amount as he may determine, not exceeding—

(a) in the case of a supplementary estimate such as is mentioned in subsections (1) or (2) of this section, the amount appearing from that estimate to represent any excess of expenditure over revenue or of revenue over expenditure, as the case may be;

(b) in the case of a supplementary estimate such as is mentioned in subsection (3) of this section, the amount appearing from that estimate to represent—

(i) the difference between any excess of expenditure over revenue which would have existed but for any such change as is mentioned in the said subsection (3) and any excess of expenditure over revenue which will exist having regard to that change; or

(ii) the difference between any excess of revenue over expenditure which would have existed but for that change and any excess of revenue over expenditure which will exist having regard to that change; or

(iii) the sum of any excess of expenditure over revenue which would have existed but for that change and any excess of revenue over expenditure which will exist having regard to that change; or

(iv) the sum of any excess of revenue over expenditure which would have existed but for that change and any excess of expenditure over revenue which will exist having regard to that change.

(6) If the Secretary of State, under the last preceding subsection, at the time of approving a supplementary estimate, makes any increase or decrease in any sum, the aggregate of the grants which he may make to the Corporation under this Act in respect of the accounting period to which that estimate relates, may equal, but shall not exceed, the amount to which that sum is so increased or decreased, as the case may be.

Power of
Secretary of
State to
make grants
to certain
companies.

27.—(1) The Secretary of State may, subject to the provisions of this Act and with the approval of the Treasury, agree to make grants to any company to which this section applies in consideration of undertakings entered into by that company with the Secretary of State, with respect to overseas air transport services.

(2) It shall be a term of every agreement made in pursuance of this section that no grant shall be payable under the agreement unless such directions as may have been given by the Secretary of State for securing that one or more directors of the company in question shall be a person or persons nominated by the Secretary of State are complied with.

(3) This section shall apply to any company as respects which the Secretary of State is satisfied that the following conditions are for the time being fulfilled, that is to say—

- (a) that the Corporation hold shares or stock in the company; and
- (b) that a subsidy is payable to the company by the Government of some country other than the United Kingdom in consideration of undertakings entered into by that company with that Government which are the same as, or similar to, those to be entered into by that company with the Secretary of State.

Power of
Secretary of
State to
provide
facilities for
aircraft.

28. The Secretary of State may provide facilities for the operation of the aircraft of the Corporation, and of any company to which the last preceding section applies, upon such terms as he may, with the approval of the Treasury, think fit.

Grants and
expenses of
providing
facilities
to be paid
out of
moneys
provided by
Parliament.
1 & 2 Geo. 6.
c. 33.

29.—(1) The aggregate amount of the grants which may be made by the Secretary of State under this Act in any year ending on the thirty-first day of March, when added to the aggregate amount of any subsidies paid in that year under agreements made before the commencement of this Act in pursuance of section one of the Air Navigation Act, 1936, as amended by the Air Navigation (Financial Provisions) Act, 1938, or made after the commencement of this Act in pursuance of the said section one as further amended by this Act, shall not exceed four million pounds.

(2) No grant shall be made under this Act after the thirty-first day of December nineteen hundred and fifty-three.

(3) All grants which may be made by the Secretary of State under this Act, and all expenses incurred by the Secretary of State under this Act in the provision of facilities for the operation of aircraft, shall be paid out of moneys provided by Parliament.

30. Subsection (1) of section one of the Air Navigation Act, 1936, as amended by the Air Navigation (Financial Provisions) Act, 1938, shall have effect as if—

Amend-
ments of
s. 1 of
26 Geo. 5. &
1 Edw. 8.
c. 44.

- (a) after the words "passengers or goods" there were inserted the words "within the British Islands, exclusive of Eire";
- (b) for the words "three million" there were substituted the words "one hundred thousand"; and
- (c) for the words "nineteen hundred and fifty-three" there were substituted the words "nineteen hundred and forty-three",

and accordingly the said subsection (1) shall have effect as set out in the Fourth Schedule to this Act:

Provided that, notwithstanding the amendments effected by this section, the Secretary of State may pay such subsidies as he may have agreed to pay by virtue of any agreement made before the commencement of this Act in pursuance of the said section in like manner as if this section had not been enacted.

Provision by the Corporation of facilities for His Majesty's service.

31. The Corporation shall comply with such directions as may from time to time be given by the Secretary of State for securing that, to such extent and in such cases as may be specified in the directions, reductions in the rates charged by the Corporation for the carriage of passengers and freight (either by reference to a percentage, or to the amount, of any reduction made by the Corporation to any other class of persons, or to any commission allowed by the Corporation to its booking agents) shall be made in the rates charged for the carriage of persons in His Majesty's service and for members of

Reduction
of rates in
case of
servants and
freight of
His Majesty.

the families and dependants of persons in such service, and in the rates charged for freight carried for His Majesty.

Powers of
Secretary
of State in
emergency.
10 & 11
Geo. 5. c. 80.

32.—(1) An order made under section seven of the Air Navigation Act, 1920 (which authorises the Secretary of State to make orders in time of war, whether actual or imminent, or of great national emergency) may require that the whole or any part of the undertaking of, or of any property and rights of, or under the control of, the Corporation shall be placed at the disposal of the Secretary of State, or of such persons as may be provided by the order.

(2) So long as any such order is in force, the Corporation shall comply with any directions which may be given to them by or under the direction of the Secretary of State.

Provision by Corporation of aerodrome and other facilities.

Provision
by Corpora-
tion of
aerodrome
and other
facilities.

33.—(1) Subject to the provisions of this section, the Corporation may afford to aircraft not being used in the service of the Corporation the use of aerodromes controlled by the Corporation and the benefit of housing, wireless or other facilities available to the Corporation, and may make in respect of any such use or benefit such reasonable charges as they think fit.

(2) The Corporation shall, without making any charge therefor, afford to any aircraft which is being used in His Majesty's service the use of any such aerodrome and the benefit of any such facilities as aforesaid.

(3) The Secretary of State may direct the Corporation to afford, at reasonable charges, to aircraft flown by, or in the service of, such persons or classes of persons as may be specified in the direction the use of such aerodromes controlled by the Corporation, or the benefit of such facilities available to them, as may be so specified.

(4) The Corporation shall not, by virtue of subsection (2) of this section, or of any direction of the Secretary of State under subsection (3) of this section, be under any obligation to afford the use of any aerodrome or the benefit of any facilities in circumstances in which any interference with the discharge of functions of the Corporation would be occasioned by their so doing.

Provisions as to subsidiary companies, &c.

34.—(1) So long as the power of the Secretary of State to make any grant to the Corporation under this Act is, or may become, exercisable, or any guarantee given by the Treasury under this Act is in force, the Corporation shall, in relation to anything done or proposed to be done by any company, exercise such powers as they may have in relation to that company in accordance with any special or general directions which the Secretary of State may, with the approval of the Treasury, give with respect to the exercise of those powers.

Duties of Corporation with respect to companies in which they hold shares, &c.

(2) The Corporation shall furnish the Secretary of State with such information and particulars as he may from time to time require with respect to any powers which the Corporation may have in relation to any company, and with respect to anything done or proposed to be done by any such company.

(3) References in this section to the powers of the Corporation in relation to a company shall be construed as including any power of voting at meetings of the company, and any power of nominating, appointing or removing a director of the company.

35. Any member of, or person employed by, the Corporation, who is a director of any company with which the Corporation has a subsisting agreement for the establishment, maintenance or operation by the company of an air transport service for or in collaboration with the Corporation, or who has become a director of any other company at the request of the Corporation, or by virtue of the exercise of any power of the Corporation, directly or indirectly, to appoint a director of that other company, or whose qualification as a director of any other company has been provided, in whole or in part, by the Corporation, shall account for and pay to the Corporation any remuneration paid to him, or at his request, by virtue of his office as such director.

Members, &c. to account for fees.

Staff, wages, superannuation, &c.

36. The Corporation may appoint such officers, agents and servants, on such terms as to remuneration and otherwise, as the Corporation may determine :

Employment of staff, and wages and conditions of employment.

Provided that the provisions of the Fifth Schedule to this Act shall have effect with respect to the wages

and conditions of employment of persons employed by the Corporation.

Collective
representation
of
staff.

37. In determining the wages and conditions of employment of persons employed by the Corporation, the Corporation shall take into account representations made to them by any body or organisation the membership of which comprises a substantial proportion of the class or classes of employees concerned.

Pension and
superannua-
tion schemes
of existing
companies.

38. The provisions contained in the Sixth Schedule to this Act shall have effect with respect to the pension and superannuation schemes of the existing companies mentioned therein.

Continuance
of com-
passionate
allowances.

39. Where immediately before the appointed day—

(a) a person who was formerly in the employment of either of the existing companies; or

(b) the widow or dependant of a deceased person who was formerly in such employment,

is in receipt of a pension or a superannuation or other allowance from that company granted in pursuance of customary practice and not as a matter of legal right, then that person or, as the case may be, his widow or dependant shall be entitled, for the remainder of the period for which the pension or allowance was granted, to receive from the Corporation the same pension or allowance, as a matter of legal right, but otherwise on the same conditions as previously obtaining.

Power of Cor-
poration to
establish
superannua-
tion schemes.

40. The Corporation may, and if the Secretary of State so directs shall, establish pension, superannuation or other benefit funds or schemes for the benefit of persons employed by the Corporation.

Transitional.

Winding-up
and
dissolution
of existing
companies.
19 & 20
Geo. 5. c. 23.

41.—(1) Each of the existing companies shall be wound up voluntarily in accordance with the provisions of the Companies Act, 1929, relating to members' voluntary winding-up :

Provided that—

(a) the winding-up of the company shall commence on the appointed day without the passing by the company of any special or other resolution for winding-up; and

- (b) the directors of the company shall not be under any obligation to make any such statutory declaration as is required by section two hundred and thirty of the said Act in the case of a members' voluntary winding-up; and
- (c) the winding-up of the company shall be conducted by the directors of the company in office at the appointed day, who shall be deemed joint liquidators for the purposes of the said winding-up with power to act by a majority of their number.

(2) For the purpose of winding up its affairs and for any other purposes necessary for enabling it to give effect to the provisions of this Act, an existing company may, after the appointed day, retain temporarily for its own use such offices, books, accounts and documents, and the services of such officers and servants, on such terms and conditions as may be agreed between the Corporation and the company, or failing agreement, as may be determined by the Secretary of State.

42.—(1) Any Airways Stock which is distributed by an existing company amongst its shareholders shall be held in the same right and on the same trusts and subject to the same powers, privileges, provisions, charges and liabilities as those in, on or subject to which the shares in respect of which that stock was so distributed were held immediately before the distribution, and so as to give effect to and not to revoke any deed, will or other instrument or testamentary or other disposition disposing of or affecting such shares.

Provisions
as to Air-
ways Stock
distributed
by existing
companies
to their
share-
holders.

(2) Trustees, executors and all other holders in any representative or fiduciary capacity who hold shares in an existing company and to whom Airways Stock is distributed in respect of those shares, may hold, dispose of or otherwise deal with the Airways Stock so distributed in all respects as they might have held, disposed of or otherwise dealt with those shares.

(3) For the purposes of this section, Airways Stock issued by the Corporation at the direction of an existing company to shareholders in that company shall be deemed to have been distributed to those shareholders by the company.

Documents
of existing
companies
to be
trans-
ferred.

43. Subject to the provisions of this Act, any person who at the appointed day has in his possession or under his control any books, documents or papers, which relate to an undertaking transferred by this Act, and which belong to either of the existing companies, or would have so belonged if such transfer had not taken place, shall be liable to account for the said documents to the Corporation and shall, at the request of the Corporation, deliver them up to the Corporation, or to such person as the Corporation may appoint :

Provided that nothing in this section shall be construed as overriding or affecting a lien to which any person may be entitled.

Exemption
from
stamp
duties.

44. Stamp duty shall not be chargeable—

(a) on any of the purchase agreements or on any conveyance, assignment or other instrument of transfer made in pursuance of any of those agreements ; or

58 & 59 Vict.
c. 16.

(b) under section twelve of the Finance Act, 1895, on any copy of this Act or on any instrument relating to the vesting of the undertakings of either of the existing companies in the Corporation by this Act ; or

(c) in the case of the first issue of Airways Stock, on so much of the proposed issue as is certified by the Secretary of State, with the approval of the Treasury, to be required for the allotment of any stock the purchase price of which is under the purchase agreements to be set off against the consideration payable thereunder, or for the purpose of raising money to provide that consideration so far as there is no such set-off as aforesaid, or to provide the working capital necessary for the initial requirements of the Corporation, or to repay money temporarily borrowed for either of those purposes ; or

(d) on any security given by the Corporation in respect of money temporarily borrowed under subsection (2) of section thirteen of this Act and certified by the Secretary of State, with the approval of the Treasury, to be required for any purpose specified in the last preceding paragraph.

General.

45.—(1) In this Act, unless it is otherwise expressly provided or the context otherwise requires, the following expressions have the meanings hereby assigned to them respectively, that is to say— Interpre-
tation.

- “acquire”, in relation to any property which the Corporation is by this Act given power to acquire, includes the taking on lease, hiring, chartering, and the obtaining of any interest in, or right to the use of, that property;
- “air transport service” means a service for the carriage by air of passengers, mails or other freight;
- “the appointed day” means such day as the Secretary of State may by order appoint as the day upon which the undertakings of the existing companies are to be transferred to the Corporation;
- “British Islands” means those Islands exclusive of Eire;
- “company” includes any body corporate which is a body corporate by virtue of the law of any part of the world;
- “country” means a Dominion, British India, British Burma, a British colony, a British protectorate, any other territory which is under His Majesty’s protection or suzerainty, a foreign country, a colony or protectorate of a foreign country and any mandated territory, and, in relation to a part of a country which is under both a provincial and a central Government, any reference in this Act to the Government of a country shall be construed as including a reference to either of those Governments;
- “director” includes any person occupying the position of director, by whatever name called;
- “financial year”, in relation to the Corporation, means a period of twelve months beginning on the first day of April, except that the period between the establishment of the Corporation and the first day of April nineteen hundred and forty-one shall be deemed to be a financial year;

"functions" includes powers and duties;

"internal air transport service" means a service which is not an overseas air transport service;

"overseas air transport service" means a service—

(i) between any one place in the British Islands and any place or places outside those Islands;

(ii) between any two or more places in the British Islands and any place or places outside those Islands so long as—

(a) on an outward journey, no passengers, mails or other freight are embarked in an aircraft at any place in those Islands except for conveyance in that aircraft to a place outside those Islands; and

(b) on a homeward journey, no passengers, mails or other freight are embarked at any place in those Islands;

or

(iii) between any places outside the British Islands;

"revenues" includes grants made by the Secretary of State to the Corporation under this Act;

"subsidiary company" means any company more than one-half of the issued share capital whereof is held directly or through a nominee by the Corporation, and any company in relation to which the Corporation have a power directly or indirectly to appoint the majority of the directors; and

"undertaking engaged in the provision of air transport services" means any undertaking which is engaged in operating air transport services, or in doing anything for the purpose of establishing or maintaining air transport services to be operated by other persons.

(2) References in this Act to aerodromes shall be construed as including references to any areas, whether on land or water, used, or intended to be used, for the landing or departure of aircraft.

Short title.

46. This Act may be cited as the British Overseas Airways Act, 1939.

SCHEDULES

FIRST SCHEDULE.

Section 1.

SUPPLEMENTARY PROVISIONS AS TO THE CORPORATION.

Tenure and Vacation of, and Disqualification for, Membership.

1. A member of the Corporation, other than the chief executive member, may at any time by a resignation under his hand addressed to the Secretary of State resign his membership, or, if he holds such office, the chairmanship or deputy-chairmanship, but, save as aforesaid and subject to the following provisions of this paragraph, a member shall hold and vacate office in accordance with the terms of the instrument appointing him to be a member, or, as the case may be, to be chairman or deputy-chairman :

Provided that, when a member becomes or ceases to be chairman, deputy-chairman or chief executive member, the Secretary of State may vary the terms of the instrument appointing him to be a member of the Corporation, so far as they relate to the date on which he is to vacate office as such.

2. If the chairman, deputy-chairman or chief executive member ceases to be a member of the Corporation, he shall cease to be chairman, deputy-chairman or chief executive member, as the case may be.

3. A member of the Corporation who ceases to be a member shall be eligible for reappointment unless he is disqualified for membership.

4. No member of the Corporation shall be capable of being elected to, or of sitting in, the House of Commons.

5. A person shall be disqualified for being a member of the Corporation if—

- (a) he has any interest in any other undertaking which operates, or is interested in the operation of, air transport services, or which manufactures or supplies, or is interested in the manufacture or supply of, aircraft,

1st Sch.
—cont.

aircraft accessories or equipment, or lubricants or fuel suitable for use for aircraft; or

- (b) holds any other office in which his duties or interests are reasonably likely to conflict with his duties towards, or the interests of, the Corporation :

Provided that, if the Secretary of State is satisfied with respect to any person who is, or whom the Secretary of State proposes to appoint as, a member, that the interest in any such undertaking as aforesaid which that person has, or proposes to acquire, is so remote, or otherwise of such a nature, that the holding thereof will not affect him in the discharge of his functions as a member of the Corporation, or that he proposes to dispose of that interest as soon as practicable, the Secretary of State may direct in writing that that person shall not be disqualified for being a member of the Corporation, either generally or for a limited period, by reason of his having that interest.

6. It shall be the duty of the Secretary of State to satisfy himself that every person whom he proposes to appoint as a member of the Corporation is not disqualified for being a member thereof, and also from time to time to satisfy himself that no person who is a member is so disqualified; and every such person shall, whenever requested by the Secretary of State so to do, furnish him with such information as the Secretary of State may consider necessary for the performance of his duty under this paragraph.

7. If the Secretary of State is satisfied that a member of the Corporation—

- (a) is disqualified for membership of the Corporation; or
- (b) has been absent from meetings of the Corporation for a period longer than three consecutive months without the permission of the Corporation; or
- (c) has become bankrupt or made an arrangement with his creditors; or
- (d) is incapacitated by physical or mental illness; or
- (e) is otherwise unable or unfit to discharge the functions of a member,

the Secretary of State may declare his office as a member of the Corporation to be vacant and shall notify the fact in such manner as the Secretary of State thinks fit, and thereupon his office shall become vacant.

Meetings and Proceedings.

1ST SCH.
—cont.

8. The quorum of the Corporation shall be five.

9. At all meetings of the Corporation the chairman, or, in his absence, the deputy-chairman, or, in the absence of both of them, such member, other than the chief executive member, as the members present may select, shall act as chairman.

10. All questions coming or arising before a meeting of the Corporation shall be decided by a majority of the members present and voting thereon at that meeting of the Corporation, and, in the case of an equality of votes, the person presiding at the meeting shall have a second or casting vote.

11. If a member of the Corporation is directly or indirectly interested in any contract, proposed contract, or other matter and is present at a meeting of the Corporation, or of any committee thereof, at which the contract or other matter is the subject of consideration, he shall, at the meeting and as soon as practicable after the commencement thereof, disclose the fact, and shall not take part in the consideration or discussion of, or vote on, any question with respect to that contract or other matter.

12. Subject as aforesaid, the Corporation shall, with the approval of the Secretary of State, make regulations with respect to the holding of meetings of the Corporation, the notices to be given of such meetings, the proceedings thereat, the keeping of minutes of such proceedings and the custody and production for inspection of such minutes.

13. Subject to the provisions of this Act and of any such regulations, the procedure of the Corporation shall be such as the Corporation may determine.

The Common Seal.

14. The Corporation shall have a common seal, and the affixing of the seal shall be authenticated by the signatures of the chairman or some other member of the Corporation authorised, either generally or specially, by the Corporation to act in his stead for that purpose, and of some other person authorised, either generally or specially, by the Corporation to act for the purpose.

Instruments executed or issued by the Corporation.

15. Any contract or instrument which, if entered into or executed by a person not being a body corporate, would not require to be under seal, may be entered into or executed on behalf

1ST SCH.
—cont.

of the Corporation by any person generally or specially authorised by them for that purpose.

16. Any document purporting to be a document duly executed or issued under the seal of the Corporation or on behalf of the Corporation shall, until the contrary is proved, be deemed to be a document so executed or issued, as the case may be.

Power to hold land.

17. The Corporation shall have power to hold land for the purposes of their functions without licence in mortmain.

Section 4.

SECOND SCHEDULE.

PROVISIONS AS TO ORDERS UNDER SECTION 4 (1).

1. The Corporation shall submit to the Secretary of State a draft of any order which they desire him to make under subsection (1) of section four of this Act and shall publish in the London Gazette, and in such other manner as he may direct, a notice stating the general effect of their application, specifying a place where a copy of the draft order may be inspected by any person free of charge at all reasonable hours, and copies may be obtained at a reasonable price, during a period of two months from the date of the publication of the notice in the London Gazette, and stating that within the said period any person may by notice to the Secretary of State object to the application.

2. If before the expiration of the said period of two months, an objection is received by the Secretary of State from any person appearing to him to be affected by the application, then, unless all objections so made are withdrawn, the Secretary of State shall cause a public inquiry to be held and before making any order shall consider all objections made to him and the report furnished to him by the person holding the inquiry.

3. After considering any such objections and report as aforesaid, the Secretary of State may make an order in the terms of the draft submitted to him, or in those terms as modified in such manner as he thinks fit.

4. So soon as he has made any such order, the Secretary of State shall cause a copy thereof to be served on all persons who objected to the draft order and on any other person who, in his opinion, may be affected by a modification made therein, together with a notice that he has made the order and that it will become final and come into operation unless, within such period, not being less than thirty days, as may be specified in the notice, a memorial praying that the order shall not become law without confirmation by Parliament is presented to the Secretary of State by some person on whom a notice is required by this paragraph to be served.

5. The Secretary of State shall also cause a notice to be published in the London Gazette, and in any other manner in which the application for the order was published, stating that he has made the order and containing the information required by the last preceding paragraph to be contained in the notices referred to therein.

6. If no such memorial is presented within the said period or if every such memorial so presented has been withdrawn, the order shall come into operation on such day as the Secretary of State may direct, but, if such a memorial has been so presented and has not been withdrawn, the order shall have no effect until it is confirmed by Parliament.

7. The Secretary of State may submit any order so made by him to Parliament for confirmation and, if while the Bill for confirming the order is pending in either House of Parliament a petition is presented against the Bill, the petitioner shall be allowed to appear before the Select Committee to which the Bill is referred and oppose the order as in the case of a private Bill.

8. Any such order made by the Secretary of State, whether or not confirmed by Parliament, may be revoked or modified by a subsequent order made under and in accordance with the same provisions.

9. Any expenses incurred under this Schedule in connection with the publication or service of notices, or the holding of a public inquiry, or the proceedings in Parliament for confirmation of an order shall be borne by the Corporation.

THIRD SCHEDULE.

Section 8.

PROVISIONAL CONTRACTS FOR THE ACQUISITION BY THE
CORPORATION OF THE UNDERTAKINGS OF IMPERIAL
AIRWAYS LIMITED AND BRITISH AIRWAYS LIMITED.I. CONTRACT FOR THE ACQUISITION OF THE UNDERTAKING OF
IMPERIAL AIRWAYS LIMITED.

AN AGREEMENT made the ninth day of June One thousand nine hundred and thirty-nine BETWEEN IMPERIAL AIRWAYS LIMITED whose registered office is at Airway Terminus Victoria Station in the County of London (hereinafter called "the Vendor Company") of the one part and THE SOLICITOR FOR THE AFFAIRS OF HIS MAJESTY'S TREASURY as trustee for and on behalf of the proposed Corporation hereinafter referred to (the said proposed Corporation and The Solicitor for the Affairs of His Majesty's Treasury being hereinafter referred to as "the Purchaser") of the other part.

WHEREAS the Vendor Company was established for the purpose of instituting and has since carried on the business of the transport of passengers and freight by air between Great Britain the British Dominions and Colonies and Dependencies and foreign countries :

AND WHEREAS it is intended that the Corporation shall be known as the British Overseas Airways Corporation and shall be constituted by Act of Parliament for the purpose of acquiring the undertaking and assets of the Vendor Company and with certain exceptions of British Airways Limited :

NOW IT IS HEREBY AGREED as follows :—

1. The Vendor Company shall sell and the Purchaser shall purchase all the undertaking and assets of the Vendor Company together with the benefit of all Contracts and goodwill and subject to all debts and liabilities of the Vendor Company outstanding at the appointed day hereinafter referred to.

2. The Purchaser shall pay satisfy discharge and fulfil all the debts liabilities contracts and engagements of the Vendor Company outstanding at the appointed day and shall indemnify the Vendor Company against all proceedings claims and demands in respect thereof.

3. The consideration for the said sale shall be the sum of Two million six hundred and fifty-nine thousand and eighty-five pounds nine shillings and ninepence together with a sum equivalent to interest thereon at the rate of four per centum per annum (less income tax) from the first day of April One thousand nine hundred and thirty-eight to the date of actual payment.

4. The sale shall be completed upon the date fixed by or under the Act of Parliament constituting the said Corporation as the appointed day for the transfer to the Corporation of the undertaking of the Vendor Company and the aforesaid consideration shall be payable on that day.

5. The Vendor Company shall be entitled to have allotted to it or as it may direct on the first offer of the Corporation's Stock to the public such an amount of the Corporation's Stock as the Vendor Company may apply for on behalf of its shareholders in accordance with the terms of the issue not exceeding such an amount as at the price of issue to the public would be purchasable with the sum of Two million six hundred and fifty-nine thousand and eighty-five pounds nine shillings and ninepence the purchase price of the Stock so allotted to be set off against the purchase price payable by the Corporation hereunder if such last mentioned purchase price shall not have been already paid. For the purpose of giving effect to this provision the Corporation shall give to the Vendor Company the earliest practicable notice of any such offer and of the terms thereof and shall furnish the Vendor Company with such a number of the prospectuses to be issued in relation thereto as the Vendor Company shall by notice to be given to the Corporation before the date of issue of the prospectus reasonably require to be supplied to them and shall keep open the allotment of the Stock to a sufficient extent for complying therewith for six clear working days from the date on which the number of prospectuses so required is supplied or such longer period as may be agreed at the time of the issue.

6. The Purchaser shall accept without requisition or objection the title of the Vendor Company to the freehold and leasehold premises included in the sale.

7. The Vendor Company shall at the request and cost of the Corporation execute such instruments and do such acts and things as may be reasonably necessary to vest in the Corporation any such assets and rights as in the opinion of the Corporation are not by the said Act of Parliament effectively vested in the Corporation.

8. If and so far as any leasehold premises included in the sale are only assignable with the consent of the Landlords or the benefit of any Agreements can only be assigned with the consent of

3RD SCH.
—cont.

third parties the Vendor Company shall use its best endeavours to obtain such consents and in any case where such consent cannot conveniently be obtained the Vendor Company shall deal with such premises or agreements in any manner that the Purchasing Corporation may reasonably require.

9. The Corporation shall as regards all persons employed by the Vendor Company offer to take them into the Corporation's employment as from the appointed day upon terms not less favourable than those upon which they were employed immediately before the appointed day.

10.—(1) The Vendor Company warrants that as from the thirty-first day of March One thousand nine hundred and thirty-eight it has not entered into any contract or made any arrangement otherwise than in the ordinary course of business and agrees with the Purchaser that (subject to any limitations imposed by sub-clause (2) of this clause) it will as from the date hereof until the appointed day maintain and carry on its undertaking in the ordinary course of business in as efficient a condition as usual.

(2) As from the date hereof until the appointed day the Vendor Company agrees with the Purchaser that the Vendor Company will not without the previous consent in writing of the Secretary of State for Air—

- (a) sell dispose of or let for a longer period than one year any of its lands buildings or aircraft;
- (b) apply any of its funds otherwise than for the purposes for which it has hitherto been used or make any distribution among its stockholders or shareholders or any class thereof;
- (c) enter into any contract of any kind extending in date beyond the period of one year;
- (d) raise any fresh capital;
- (e) purchase any new aircraft;
- (f) undertake any new works the estimated cost of which exceeds the sum of twenty-five thousand pounds.

11. The Corporation shall pay to the Vendor Company the reasonable costs incurred by it in carrying out the liquidation of the Vendor Company.

12. All disputes which may at any time arise under this Agreement shall be referred to arbitration and the provisions of the Arbitration Acts 1889 to 1934 shall apply as far as applicable.

13.—(i) This Agreement is conditional upon—

- (a) the passing before the first day of January One thousand nine hundred and forty or such later date as may be agreed between the parties to this Agreement of an Act of Parliament constituting the Corporation hereinbefore referred to; and
- (b) the adoption and ratification by the Corporation of this Agreement within two months from the passing of the said Act of Parliament or within such longer period as may be agreed between the parties to this Agreement; and
- (c) the appointed day referred to in Clause 4 hereof being fixed for a date not later than four months after the passing of such Act of Parliament or such longer period as may be agreed between the parties to this Agreement.

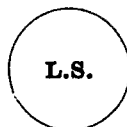
(ii) If any of the conditions above referred to shall not be fulfilled this Agreement shall be void and of no effect and neither party shall have any claim against the other in respect thereof.

IN WITNESS whereof the Vendor Company has caused its Common Seal to be hereunto affixed and the Official Seal of The Solicitor for the Affairs of His Majesty's Treasury has hereunto been affixed the day and year first above written.

The Common Seal of Imperial Airways
Limited was hereunto affixed in the
presence of:—

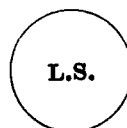
J. C. W. REITH,
Director.

E. TEMPLE MELLOR,
Secretary.



The Official Seal of The Solicitor for the
Affairs of His Majesty's Treasury was
hereunto affixed in the presence of:—

T. J. BARNES,
The Solicitor for the Affairs
of His Majesty's Treasury.



3RD SCH.
—cont.II. CONTRACT FOR THE ACQUISITION OF THE UNDERTAKING OF
BRITISH AIRWAYS LIMITED.

AN AGREEMENT made the ninth day of June One thousand nine hundred and thirty-nine BETWEEN BRITISH AIRWAYS LIMITED whose Registered Office is at Terminal House Grosvenor Gardens in the County of London (hereinafter called "the Vendor Company") of the one part and the SOLICITOR FOR THE AFFAIRS OF HIS MAJESTY'S TREASURY as Trustee for and on behalf of the proposed Corporation hereinafter referred to (the said proposed Corporation and the Solicitor for the Affairs of His Majesty's Treasury being hereinafter referred to as "the Purchaser") of the other part.

WHEREAS the Vendor Company was established for the purpose of carrying on and has carried on the business of the transport of passengers and freight by air.

AND WHEREAS it is intended that the Corporation shall be known as the British Overseas Airways Corporation and shall be constituted by Act of Parliament for the purpose of acquiring the undertaking and assets of Imperial Airways Limited and with certain exceptions of the Vendor Company.

NOW IT IS HEREBY AGREED as follows :—

1. The Vendor Company shall sell and the Purchaser shall purchase all the undertaking and assets of the Vendor Company (other than (a) the shares in Northern Airways Limited and in Highland Airways Limited of which the Vendor Company is beneficial owner or if the said shares be sold the proceeds of sale thereof and any income arising from such proceeds and (b) the loan of Forty thousand five hundred pounds made by the Company to Northern Airways Limited) TOGETHER with the benefit of all contracts and goodwill and subject to all debts and liabilities of the Vendor Company outstanding at the appointed day hereinafter referred to (other than the excepted debts and liabilities specified in clause 2 hereof)

2.—(1) The excepted debts and liabilities referred to in clause 1 hereof are :—

(a) the sum or sums amounting in all to Three hundred and eleven thousand pounds owing on the thirtieth day of September One thousand nine hundred and thirty-eight by the Vendor Company to certain Beneficial Owners of shares of the Vendor Company ;

- (b) all liabilities of the Vendor Company arising under an Agreement dated the sixth day of April One thousand nine hundred and thirty-eight made between the London Midland & Scottish Railway Company the Vendor Company David MacBrayne Limited and Scottish Airways Limited;
- (c) all liabilities of the Vendor Company to Northern Airways Limited or Highland Airways Limited and all liabilities in respect of the shares in those two Companies of which the Vendor Company is beneficial owner.

(2) The Vendor Company agrees to discharge and satisfy the debts and liabilities referred to in paragraph (1) of this clause.

3. The Purchaser shall pay satisfy discharge and fulfil all the debts liabilities contracts and engagements of the Vendor Company outstanding at the appointed day (other than debts and liabilities referred to in clause 2 hereof) and shall indemnify the Vendor Company against all proceedings claims and demands in respect thereof.

4. The consideration for the said sale shall be the sum of FIVE HUNDRED AND SEVENTY-THREE THOUSAND FIVE HUNDRED POUNDS TOGETHER with a sum equivalent to interest thereon at the rate of four per cent. per annum (less income tax) from the thirtieth day of September One thousand nine hundred and thirty-eight to the date of actual payment less the amount of any interest paid or payable by the Company in respect of the said sum of Three hundred and eleven thousand pounds or any part thereof AND TOGETHER with a sum equal to interest at the rate of four per cent. per annum (less income tax) on the amount of all advances by way of loan which have been made or shall be made to the Vendor Company for the purpose of carrying on its undertaking since the thirtieth day of September One thousand nine hundred and thirty-eight and before the appointed day by any shareholder or shareholders of the Vendor Company or any beneficial owner or owners of shares of the Vendor Company calculated from the date on which such advances shall have been or be made respectively until the same shall have been or be repaid to the person or company who shall have made such advance less such amount of interest (if any) as shall have been paid or is payable by the Vendor Company in respect of any such advance.

The sale shall be completed upon the day fixed by or under the Act of Parliament constituting the said Corporation as the appointed day for the transfer to the Corporation of the undertaking of the Vendor Company and the aforesaid consideration shall be paid by the Purchaser to the Vendor Company on that day and on that day the Corporation shall repay all the advance:

3RD SCH.
—cont.

above mentioned made since the thirtieth day of September One thousand nine hundred and thirty-eight and shall pay to the lenders all interest then payable to them in respect thereof.

5. The Vendor Company shall be entitled to have allotted to it or as it may direct on the first offer of the Corporation's Stock to the public such an amount of the Corporation's Stock as the Vendor Company may apply for on behalf of its shareholders in accordance with the terms of the issue not exceeding such an amount as at the price of issue to the public would be purchasable with the sum of FIVE HUNDRED AND SEVENTY-THREE THOUSAND FIVE HUNDRED POUNDS the purchase price of the Stock so allotted to be set off against the purchase price payable by the Corporation hereunder if such last mentioned purchase price shall not have been already paid. For the purpose of giving effect to this provision the Corporation shall give to the Vendor Company the earliest practicable notice of any such offer and of the terms thereof and shall furnish the Vendor Company with such a number of the prospectuses to be issued in relation thereto as the Vendor Company shall by notice to be given to the Corporation before the date of issue of the prospectus reasonably require to be supplied to them and shall keep open the allotment of the Stock to a sufficient extent for complying therewith for six clear working days from the date on which the number of prospectuses so required is supplied or such longer period as may be agreed at the time of the issue.

6. The Purchaser shall accept without requisition or objection the title of the Vendor Company to the freehold or leasehold premises rights and other assets included in the sale.

7. The Vendor Company shall at the request and cost of the Corporation execute such instruments and do such acts and things as may be reasonably necessary to vest in the Corporation any such assets and rights as in the opinion of the Corporation are not by the said Act of Parliament effectively vested in the Corporation.

8. If and in so far as any leasehold premises included in the sale are only assignable with the consent of the landlords or the benefit of any Agreements can only be assigned with the consent of third parties the Vendor Company shall use its best endeavours to obtain such consent and in any case where such consent cannot conveniently be obtained the Vendor Company shall deal with such premises or Agreements in any manner that the Corporation may reasonably require.

9. The Corporation shall as regards all persons employed by the Vendor Company offer to take them into the Corporation's employment as from the appointed day upon terms not less favourable than those upon which they were employed immediately before the appointed day.

10.—(1) The Vendor Company warrants that as from the thirtieth day of September One thousand nine hundred and thirty-eight it has not entered into any contract or made any arrangement otherwise than in the ordinary course of business and agrees with the Purchaser that (subject to any limitations imposed by sub-clause (2) of this clause) it will as from the date hereof until the appointed day maintain and carry on its undertaking in the ordinary course of business in as efficient a condition as usual.

(2) As from the date hereof until the appointed day the Vendor Company agrees with the Purchaser that the Vendor Company will not without the previous consent in writing of the Secretary of State for Air—

- (a) sell dispose of or let for a longer period than one year any of its lands buildings or aircraft;
- (b) make any distribution among its stockholders or shareholders or any class thereof;
- (c) enter into any contract of any kind extending in date beyond the period of one year;
- (d) raise any fresh capital;
- (e) purchase any new aircraft;
- (f) undertake any new works the estimated cost of which exceeds the sum of Twenty-five thousand pounds.

11. The Corporation shall pay to the Vendor Company the reasonable costs incurred by it in carrying out the liquidation of the Vendor Company.

12. All disputes which may at any time arise under this Agreement shall be referred to arbitration and the provisions of the Arbitration Acts 1889 to 1934 shall apply as far as applicable.

13.—(1) This Agreement is conditional upon—

- (a) the passing before the first day of January One thousand nine hundred and forty or such later date as may be agreed between the parties to this Agreement of an Act of Parliament constituting the Corporation hereinbefore referred to; and
- (b) the adoption and ratification by the Corporation of this Agreement within two months from the passing of the said Act of Parliament or within such longer period as may be agreed between the parties to this Agreement; and
- (c) the appointed day referred to in Clause 4 hereof being fixed for a date not later than four months after the passing of such Act of Parliament or such longer period as may be agreed between the parties to this Agreement.

3RD SCH.
—cont.

(2) If any of the conditions above referred to shall not be fulfilled this Agreement shall be void and of no effect and neither party shall have any claim against the other in respect thereof.

IN WITNESS whereof the Vendor Company have hereunto caused their Common Seal to be affixed and the Solicitor for the Affairs of His Majesty's Treasury has caused his Official Seal to be affixed the day and year first above written.

The Common Seal of British Airways }
Limited was hereunto affixed in the
presence of :—

J. RONALD MCCRINDLE,
Director.

D. S. S. MACDOWALL,
Secretary.

L.S.

The Official Seal of the Solicitor for the }
Affairs of His Majesty's Treasury was
hereunto affixed in the presence of :—

T. J. BARNES,
The Solicitor for the Affairs
of His Majesty's Treasury.

L.S.

Section 30.

FOURTH SCHEDULE.

SECTION 1 (1) OF THE AIR NAVIGATION ACT, 1936,
AS AMENDED BY THIS ACT.

(1) The Secretary of State may, with the approval of the Treasury, agree to pay subsidies to any persons and to furnish facilities for their aircraft, in consideration of undertakings entered into by those persons with respect to the carriage by air of passengers or goods within the British Islands, exclusive of Eire :

Provided that—

- (a) the aggregate amount of the subsidies payable under all the agreements made in pursuance of this section shall not exceed one hundred thousand pounds in any financial year; and
- (b) no subsidy shall be payable under any such agreement after the thirty-first day of December, nineteen hundred and forty-three.

FIFTH SCHEDULE.

Section 36.

PROVISIONS AS TO WAGES, &C.

1. Section twenty-seven of the Air Navigation Act, 1936, (which relates to the wages and conditions of employment of persons employed by subsidised persons as defined by that section) shall have effect for the purpose of regulating the wages paid by the Corporation to persons employed by them in the United Kingdom, and the conditions of employment of such persons, in like manner as that section has effect for the purpose of regulating the wages paid by subsidised persons to persons employed by them in connection with the carriage by air of passengers or goods, and the conditions of employment of persons so employed.

2. The wages paid by the Corporation to, and the conditions of employment of, persons employed by the Corporation outside the United Kingdom shall not be less favourable to those persons than the rates of wages and conditions of employment commonly recognised by employers and associations representative of employees in respect of employment in a similar capacity and in similar circumstances, or, in the absence of any rates of wages or conditions of employment which are so recognised, rates of wages and conditions of employment such as commonly prevail among good employers in respect of employment in a similar capacity and in similar circumstances.

SIXTH SCHEDULE.

Section 38.

PROVISIONS AS TO PENSION AND SUPERANNUATION SCHEMES OF EXISTING COMPANIES.

PART I.

PENSION SCHEME OF IMPERIAL AIRWAYS LIMITED.

1. In this Part of this Schedule—

- (a) the expression "the company" means Imperial Airways Limited;
- (b) the expression "the scheme" means the pension scheme established for the benefit of the employees of the company by the Trust Deed dated the twenty-third day of October, nineteen hundred and thirty-six

6TH SCH.
—cont.

and made between the company of the first part, Sidney Albert Dismore and Arthur Joseph Quin-Harkin of the second part, and Leslie Allan Walters and Rankin Lorimer Weir of the third part; and

- (c) references to the scheme shall be construed as including references to the said Trust Deed.

2. The scheme shall continue in operation on and after the appointed day, subject to the following provisions of this Part of this Schedule which shall have effect on and after that day for the purpose of regulating the continued operation of the scheme.

3. No person who is not, immediately before the appointed day, participating in the scheme shall be eligible to participate therein unless—

- (a) he is, immediately before the appointed day, in the service of the company; and
(b) he is then not eligible to participate in the scheme by reason only of the fact that he has not been in the service of the company for a sufficient length of time or is a labourer or a member of the staff locally engaged overseas; and
(c) he enters the service of the Corporation;

and no person shall be eligible to participate in the scheme except in accordance with the provisions of the scheme as regulated by the provisions of this Part of this Schedule.

4. Any person who is, immediately before the appointed day, in the service of the company and does not enter the service of the Corporation, shall—

- (a) if he is, immediately before the appointed day, less than fifty-five years of age, be treated as if he were then discharged from the service of the company for reasons other than misconduct;
(b) if he is, immediately before the appointed day, fifty-five years of age or more but has not attained the age of sixty years, be treated, at his option, either as if he were then retiring on pension before attaining the age of sixty years with the permission of the Board of the company, or as if he were then discharged from the service of the company for reasons other than misconduct; or
(c) if he is, immediately before the appointed day, sixty years of age or more, be treated as then retiring from the service of the company.

5. Subject to the provisions of this Part of this Schedule, the scheme shall have effect as if—

6TH SCH.
—cont.

- (a) the Corporation had been in existence on the date of the execution of the said Trust Deed and had executed that document in place of the company; and
- (b) for any reference (by whatever form of words) in the scheme to the company, or to the Board of the company, there were substituted a reference to the Corporation; and
- (c) the service or employment under or by the company of any person had been service or employment under or by the Corporation; and
- (d) any thing done, permitted or omitted by or on behalf of the company (including any thing which is by virtue of the preceding provisions of this Part of this Schedule to be deemed to have been permitted by the company, or by the Board of the company) had been done, permitted or omitted, as the case may be, by the Corporation.

6. Notwithstanding anything contained in the scheme, the trustees for the time being thereof may at the joint request of the Corporation and of any person who is entitled to any benefit under the scheme and has entered the service of the Corporation, transfer such sum, to be determined, if necessary, by an actuary appointed by the trustees of the scheme, as represents the interest of that person under the scheme, to the trustees or other persons having the management of any pension, superannuation or other benefit fund or scheme established by the Corporation under this Act, to be applied in accordance with the provisions of any such pension, superannuation or other benefit fund or scheme; and thereupon the respective rights and liabilities under the scheme of the Corporation, the trustees, that person and of any person claiming through or under that person shall cease and determine.

7. Nothing contained in this Part of this Schedule shall prejudice or affect any power of altering, amending, adding to or cancelling the scheme in accordance with the provisions thereof.

PART II.

SUPERANNUATION SCHEME OF BRITISH AIRWAYS LIMITED.

1. In this Part of this Schedule—

- (a) the expression “the company” means British Airways Limited;

6TH SCH.
—cont.

- (b) the expression "the Trust Deed" means the Trust Deed (relating to the provision of superannuation benefits for the employees and salaried directors of the company and its associated or subsidiary companies by means of a Superannuation Scheme under which Endowment Assurances are to be effected with the Sun Life Assurance Society) dated the seventeenth day of March nineteen hundred and thirty-nine, and made between the company of the one part, John Ronald McCrindle, Walter Cyril Tomlinson, David Smillie Smith Macdowall, and John Vincent Wood of the other part;
- (c) the expression "the regulations" means the regulations contained in the First Schedule to the Trust Deed;
- (d) the expression "the scheme" includes both the Trust Deed and the Superannuation Scheme to which it relates as existing immediately before the appointed day; and
- (e) the expressions "Trustees' Assurance" and "Employee's Assurance" have the same meanings respectively as in the regulations.

2. The scheme shall continue in operation on and after the appointed day, subject to the following provisions of this Part of this Schedule which shall have effect on and after that day for the purpose of regulating the continued operation of the scheme.

3. No person who is not immediately before the appointed day participating in the scheme shall be eligible to participate in the scheme unless—

- (a) he is, immediately before the appointed day, an employee as defined by the regulations; or
- (b) he has, immediately before the appointed day, been in the service of the company for a period of less than three months; and
- (c) in either case, he enters the service of the Corporation;

and no person shall be eligible to participate in the scheme except in accordance with the provisions of the scheme as regulated by the provisions of this Part of this Schedule.

4. Any person who is, immediately before the appointed day, an employee as defined by the regulations, and does not enter the service of the Corporation, shall be deemed to have retired immediately before the appointed day from the service of the company with the consent of the company, and, for the purposes of any provisions of the regulations relating to any Trustees'

Assurance, shall be deemed to have so retired during the period of ten years preceding the date of the maturity of that Assurance.

6TH SCH.
—cont.

5. Subject to the provisions of this Part of this Schedule, the scheme shall have effect as if—

- (a) the Corporation had been in existence on the date of the execution of the Trust Deed and had executed that document in place of the company; and
- (b) the Corporation had been a party to the Superannuation Scheme to which the Trust Deed relates, and to any agreement relating to that Superannuation Scheme, in place of the company; and
- (c) for any reference (by whatever form of words) in the scheme to the company there were substituted a reference to the Corporation; and
- (d) references to associated or subsidiary companies were omitted from the scheme; and
- (e) the service or employment under or by the company of any person had been service or employment under or by the Corporation; and
- (f) any act or thing done, permitted or omitted by or on behalf of the company (including any thing which is by virtue of the preceding provisions of this Part of this Schedule to be deemed to have been permitted by the company) had been done, permitted or omitted, as the case may be, by the Corporation.

6. Anything required or authorised by the scheme to be done by the secretary or a director of the company may be done by such member or officer of the Corporation as the Corporation may appoint for the purpose.

7. Notwithstanding anything contained in the scheme, the trustees for the time being thereof may at any time, at the joint request of the Corporation and of any person who is participating in the scheme and has entered the service of the Corporation, either—

- (a) do all such acts or things as may be necessary to convert into money, or facilitate the conversion into money of, any Trustees' Assurance or Employee's Assurance on the life of that person so soon as any such Assurance is capable of being so converted, and transfer, or concur in the transfer of, the amount obtained by such conversion to the trustees or other persons having the management of any pension, superannuation or other benefit fund or scheme established by the Corporation under this Act, to be applied in accordance with the provisions of any such pension, superannuation or other benefit fund or scheme as aforesaid; or

6TH SCH.
—cont.

- (b) transfer, or concur in the transfer of, any Trustees' Assurance or Employee's Assurance on the life of that person to any such trustees or persons as last aforesaid to be applied in accordance with the provisions of any such pension, superannuation or other benefit fund or scheme as last aforesaid,

and thereupon the respective rights and liabilities under the scheme of the Corporation, the trustees, that person, and any person claiming through or under that person, shall cease and determine.

8. Nothing contained in this Part of this Schedule shall prejudice or affect any power of altering, cancelling or modifying all or any of the provisions of the Trust Deed or of the regulations in accordance with the provisions of the Trust Deed, or of determining the trusts created under the Trust Deed in accordance with the provisions of the regulations, or any power of terminating or modifying the Superannuation Scheme to which the Trust Deed relates, or any agreement relating to the Superannuation Scheme, in accordance with the terms of that Scheme or agreement.

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